

**Line 3**

Case Name: *Velocity Investments, LLC v. John Madrid, et al.,  
And Related Cross-Action*

Case No.: 23CV427141

**SUPERIOR COURT OF CALIFORNIA**

**COUNTY OF SANTA CLARA**

Defendant/Cross-Complainant John Madrid (“Madrid”) moves the Court to compel Plaintiff/Cross-Defendant Velocity Investments, LLC (“Velocity”) to:

1. Provide complete, non-evasive, Code-Compliant responses to Madrid’s Request for Production of Documents and Electronically Stored Information, Set One (“RFP”) No. 2;
2. Produce all documents and ESI in its possession, custody or control that are responsive to Madrid’s RFP No. 2; and
3. Pay a monetary sanction in the amount of \$3,092.52 for Madrid’s reasonable attorneys’ fees and costs incurred for this Motion.<sup>2</sup>

Notice of Motion (the “Motion”) at 1:25-2:4 (filed: Oct. 31, 2025).

The Motion came on for hearing on June 24, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

This Motion is straightforward.

Putting aside for the moment the issue of sanctions, there are only two specific items that Madrid seeks by this Motion:

- for Velocity to produce “the purchase and sale agreement subject to the Court’s standard protective order” and
- for Velocity to “amend its response” to RFP No. 2 to comply with Code of Civil Procedure Section 2031.220 by stating that Velocity has complied in whole with RFP No. 2 and has produced all responsive documents in its possession, custody, or control.

---

<sup>2</sup> Madrid also here asks for an Order “authorizing the previously awarded sanctions in the amount of \$3,025, for a total sanction award of \$6,117.52.” Motion at 2:7-8. In this ruling the Court will address this point on the reasonable total amount of sanctions to be awarded now.

Madrid Memo. of Points & Authorities in Support of Motion at 5:3-6:3 (filed: Oct. 31, 2025).

RFP No. 2 was served on Velocity on February 7, 2024. Declaration of Matthew C. Salmonsens in Support of Motion (“Salmonsens Decl.”) at ¶ 3, Ex. A. After over a year of motion practice and countless pages of needlessly argumentative and hostile meet-and-confer-correspondence—which was an utterly unprofessional, inefficient, and counter-productive use of time and effort by all these counsel and parties—Velocity in its Second Amended Response to RFP No. 2 served on June 19, 2025, finally agreed “to produce the purchase and sale agreement subject to the Court’s standard protective order[.]” Salmonsens Decl. Ex. F at p. 4.

A Stipulated Protective Order was entered in this case on September 12, 2025. Salmonsens Decl. at ¶ 11. Despite Velocity’s promise to produce the purchase and sale agreement once the Protective Order was entered, when Velocity dragged its feet and did *not* produce this document for over a month and half, Madrid on October 31, 2025, was justified in filing this Motion to compel production of this document. The Court finds that Velocity had no excuse whatever not to promptly produce this document subject to the terms of the September 12, 2025 Protective Order, and Velocity’s failure to do so caused and justified this Motion to be filed on October 31, 2025.

Happily, albeit belatedly, two months later on December 30, 2025, Velocity did produce this purchase and sales agreement subject to the Protective Order. Declaration of June D. Coleman in Opposition to Motion (“Coleman Decl.”) at ¶ 5 (filed: June 11, 2026). As the sole document sought by this Motion has been produced, there is no document for the Court to compel Velocity to produce now.

Regarding Madrid’s request that Velocity further amend its response to RFP No. 2 to comply with Code of Civil Procedure Section 2031.220, without question Velocity had the duty to comply with Code of Civil Procedure Section 2031.220—and the Court’s review of all its multiple responses to RFP No. 2 (its *original* Response, its *First* Amended Response, and its *Second* Amended Response) shows that Velocity, so far, has failed to do so. Why it is has been so excruciatingly difficult for so long for Velocity to comply with Section 2031.220—which simply requires Velocity to state that it has complied with RFP No. 2 in whole or in part and that all responsive documents “that are in the possession, custody, or control” of Velocity have been included in the production—is a mystery to the undersigned Judge.

Again happily, albeit even *more* belatedly, Velocity for the first time in its Opposition papers to this Motion filed on June 11, 2026, has now promised to amend again its response to RFP No. 2 to comply with Code of Civil Procedure Section 2031.220. Coleman Decl. at ¶ 6. The Court will hold Velocity to fulfill that promise promptly. Accordingly, the Court **ORDERS** Velocity to serve on Madrid its Third Amended Response to RFP No. 2 that complies with Code of Civil Procedure Section 2031.220

**within 10 days of today.**<sup>3</sup>

Having now dealt with the document at issue and compelling a Code-Compliant Response to sole RFP (No. 2) at issue, the Court now turns to the sole remaining issue of the monetary sanction sought by Madrid against Velocity. To be precise, Madrid asks the Court to Order Velocity to pay a monetary sanction now of \$6,117.52, which equals attorneys' fees of \$6,050.00 (for *10 hours* of attorney work at \$605.00 per hour) plus costs of \$67.52 for the filing fee. Reply at 3:23-25; Salmonsens Decl. at ¶ 14. The *10 hours* of attorney work that Madrid now seeks comprises 5 hours of attorney work at \$605.00 that Madrid's lawyers spent on its first motion to compel a further response to RFP No. 2 (among other things) filed on August 6, 2024, which equals \$3,025.00,<sup>4</sup> plus another 5 hours of attorney work at \$605.00 per hour for another \$3,025.00 for the pending Motion to compel a further response to RFP No. 2 now. So, doing the math, \$3,025.00 (attorneys' fees) + 3,025.00 (attorneys' fees) + 67.52 (filing fee) = \$6,117.52 sanction sought now.

In Opposition, Velocity argues that the \$6,117.52 monetary sanction should be "denied outright" because "the Motion is moot" because Velocity produced the requested document on December 30, 2025, and has promised to amend its Response to RFP No. 2 to make it Code-Compliant, or should be reduced because "the duplication of the previous motion to compel[.]" Opp. at 3:3-7 & 8:4-8.

The Court respectfully disagrees with Velocity that the Motion is moot. As the Court explained above, Madrid was justified in filing this Motion when it did on October 31, 2025 because Velocity dragged its feet by not producing the purchase and sale agreement subject to the Protective Order for over a month and a half after the Court entered that Protective Order on September 12, 2025. And the fact that Velocity made a partial subsequent cure by producing this requested document on December 30, 2025—two months after the Motion was filed on October 31, 2025—does not divest the Court of authority and discretion to award a monetary sanction here against Velocity for the amount that Madrid *reasonably* incurred for bringing these Motion(s) (first on August 6, 2024, and then again on October 31, 2025) to compel Velocity to produce this document

---

<sup>3</sup> Both Velocity and attorney Coleman are now put on **NOTICE** that failure to comply with this **ORDER** within 10 days of today will result in escalating monetary sanctions against *both* Velocity and attorney Coleman as well as non-monetary sanctions against Velocity including issue, evidentiary, and terminating sanctions. So Velocity and attorney Coleman had best make sure that Velocity's Third Amended Response to RFP No. 2 complies with Code of Civil Procedure Section 2031.220—to the letter—within 10 days of today.

<sup>4</sup> While Madrid argues as if Judge Hayashi awarded Madrid this amount of \$3,025.00 for 5 hours of attorney work at \$605.00 per hour for the first motion to compel, that is not so. Judge Hayashi did not award Madrid any specific monetary sanction but rather "reserved" ruling (and never did rule) on this issue. Hence, the undersigned Judge has full discretion to decide the amount of sanctions, including the *reasonable* amount of attorneys' fees, to award now.

and provide a further response to RFP No. 2. *See* Cal. Rules of Court, Rule 3.1348(a) (“The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though . . . the requested discovery was provided to the moving party after the motion was filed.”); *Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal. App. 4th 390, at 408-409 (“once a party has failed to serve timely [discovery] responses, the trial court has the authority to hear a propounding party’s motion to compel responses . . . regardless of whether a party [later] serves an untimely response[,]” and going on to cite and quote Rule 3.1030(a), which in 2009 was renumbered as Rule 3.1348(a) *supra*, that the court may award sanctions even though the requested discovery responses were served after the motion was filed.)

In light of the plain text of Rule 3.1348(a), even though Velocity made a partial cure by producing the document requested *after* this October 31, 2025 Motion was filed, the Court retains authority and discretion under Code of Civil Procedure Section 2023.030(a) to impose a reasonable sanction against Velocity here: “The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the *reasonable* expenses, including attorney’s fees, incurred by anyone as a result of that conduct.” C.C.P. § 2023.030(a) (emphasis added). And, lest there be doubt, the Court reads Section 2023.010(d) to mean that failing to *timely* “respond . . . to an authorized method of discovery” like RFPs is a “misuse of the discovery process” (C.C.P. § 2023.010(d)) subject to a reasonable sanction under Section 2023.030(a).

Hence, while the Court here may award Madrid a monetary sanction paid by Velocity for Madrid’s reasonable attorney’s fees and costs incurred for the Motion(s) to compel, the *amount* of this sanction is within the wide discretion of the Court. Simply put, the Court gets to determine what amount is *reasonable* under these circumstances.

As noted above, here Madrid seeks a \$6,117.52 sanction for attorneys’ fees of \$6,050.00 (for 10 hours of attorney work at \$605.00 per hour) plus costs of \$67.52 for the filing fee.

In light of prevailing rates in the relevant market, the Court rules that this billable rate sought of \$605.00 per hour is reasonable.

*But* the number of 10 hours of attorneys work for the straightforward motions to compel Velocity to produce a single document and amend its answer to a single RFP to make it Code-Compliant with Section 2031.220 is *unreasonable*. Particularly after Velocity’s attorney Coleman conceded in Velocity’s Second Amended Response of June 19, 2025 that it would produce the document at issue, there was not much that Madrid’s counsel had to do to *win* this Motion. Simply put, the Motion was a layup. All Madrid need to do to win was point out: (1) despite Velocity’s promise to produce the document at issue once the Protective Order was entered, Velocity failed to produce it for over a month and half after the Protective Order was entered; (2) Velocity’s Second Amended Response to RFP No. 2 did not comply with the plain text of Section 2031.220; and (3) California law requires Velocity to produce this responsive document and provide a Code-Compliant response to RFP No. 2. Those straightforward points reasonably should have

taken Madrid's lawyer one hour to brief and argue. And the Court will award Madrid another 2 hours of attorney time reasonably incurred for the time Madrid's lawyer had to wade through and analyze the lengthy but utterly unproductive meet and confer correspondence, objections, and opposition papers from Velocity's lawyer regarding the two motion(s) to compel. Accordingly, the Court finds that Madrid's attorneys should reasonably have **spent three hours total and combined** to win the Motion(s) to compel.

In addition, the Court awards Madrid as a part of this monetary sanction the \$67.52 filing fee sought by Madrid that the Court finds was a reasonable cost that Madrid occurred for filing this Motion.

So, **the total monetary sanction awarded now is \$1,882.52**, which equals \$1,815.00 in reasonable attorneys' fees (=3 hours total and combined at \$605.00 per hour) plus \$67.52 in reasonable cost incurred by Madrid's counsel for the motions to compel at issue.<sup>5</sup> And Velocity will pay Madrid this \$1,882.52 sanction within 10 days of today.

### **Conclusion & Order**

Accordingly, the Motion is **GRANTED In Part** as follows: The Court **ORDERS Velocity Investments, LLC within 10 days of today:**

- (1) to serve on Madrid its Third Amended Response to RFP No. 2 that complies with Code of Civil Procedure Section 2031.220; and
- (2) to pay Madrid \$1,882.52 as a monetary sanction for Madrid's reasonable attorneys' fees and costs here.

**SO ORDERED.**

Date: June 24, 2026

Hon. Vincent I. Parrett  
Superior Court of the State of California,  
County of Santa Clara

---

<sup>5</sup> Lest there be any confusion, in the broad exercise of its discretion the Court does not and will not award any additional amount of monetary sanction for the interrelated (and rather duplicative) first motion to compel filed on August 6, 2024. The Court rules that 3 hours of attorney time—total and combined—is reasonable and quite enough for these two entwined motions to compel.

**Line 4**

Case Name: *Raymond Tesconi v. Dark Run Ventures, Inc., et al.*

Case No.: 24CV435406

**SUPERIOR COURT OF CALIFORNIA**

**COUNTY OF SANTA CLARA**

Defendant William Stuart (“Stuart”) moves under Code of Civil Procedure Sections 2023.010, 2023.030, and 2030.300(e) for a terminating sanction against Plaintiff Raymond Tesconi (“Tesconi”) for Tesconi’s failure to comply with the Court’s Order of August 29, 2025 to serve verified full, complete, Code-Compliant responses without objections to Special Interrogatories and to pay a monetary sanction of \$751.25 within 30 days of service of the August 29, 2025 Order. Notice of Motion (the “Motion”) at 2:6-22 (filed: Nov. 17, 2025). In addition, Stuart here seeks a monetary sanction of \$2,232.50 against Tesconi for Stuart’s reasonable attorneys’ fees and costs for this Motion.

The Motion came on for hearing on June 24, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Chronology matters.

Indeed, as will be explained below, the chronology of events for this specific Motion is all that saves Tesconi from terminating sanctions right now.

The legal standard for imposing terminating sanctions for violation of a discovery Order is clear and undisputed by the parties. To impose terminating sanctions against Plaintiff, the Court must find all these three facts:

Fact No. 1: Plaintiff violated a Court Order for discovery;

Fact No. 2: That violation was willful;

Fact No. 3: Lesser sanctions like issue or evidentiary sanctions would not bring about compliance by Plaintiff with his discovery obligations.

*R.S. Creative, Inc. v. Creative Cotton, Ltd.* (1999) 75 Cal. App. 4th 486, 496-496; *Doppes v. Bentley Motors, Inc.* (2009) 174 Cal. App. 4th 967, 992.

Regarding Fact No. 1, the Court finds as a matter of fact that Plaintiff in this case has violated multiple Court Orders for discovery—including but not limited to the August